

You should have two exam packets!

This is part 2 of 2

Name_____

Discussion Section Instructor_____

Discussion Section Number_____

Econ 302: Fall 2016 (Eudey)

First Exam, Version 1

Part 2 of 2

The exam has a total of 54 points. You have 70 minutes to complete the exam, so you must move very quickly.

The exam is worth 54 points. There are 36 multiple choice questions each worth 1 point and short answer questions worth 18 points. This part of the exam has only short answer questions, worth 8 points.

Short Answer worth 8 points. Please enter your answer in the space below.

1. (2 points) As we've seen in lecture, there is ambiguity in the data about whether real wages or labor taxes affect the labor supply decision.
 - A. Describe the data that we've seen in class and in the textbook that suggests that labor supply is affected by the level of income taxes (proportional labor taxes).
 - B. Based on the theory and discussion in class, give a brief reason to be skeptical about the data you describe in part a.

2. (3 points) These questions will ask about how the Scientific Method is used to evaluate and develop models of the economy.

A. Why do economists look at correlations between pieces of economic data? Explain why they are useful statistics.

B. How do economists use economic models to get model predictions that can be compared to the correlations in the data?

C. Explain why “shocks” to the demand side of our one-period model (preferences or Government) are never going to explain all the key business cycle statistics we’ve seen in class.

3. (3 points) What is your least favorite assumption in the model and why is it your least favorite assumption? How does that assumption affect the model results? Note how many points this is worth, so treat the question seriously!

If you have time, go back and check your answers to part 1